MMR and ZGate: the short version

By Nasif Hossain (EndoScorpion@gmail.com) · 13 October 2026 · Full technical paper: *MMR_ZGate_WhitePaper_RFC.pdf*

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MMR (Max/Min slope Ratio) is Nasif's original concept (2019). ZGate, its parameters, the test methods and this text are his work.

What they are, in plain words

MMR looks at how steep the price trend is over the last 6, 12 and 18 bars and divides the steepest slope by the flattest. A big number means one direction is dominating on every horizon.

ZGate asks: is the last price (and the last volume) unusually high compared with the last 20 bars? It blends the two (70% price, 30% volume). If the blend is 1.0 or higher, the EA will not open a new sell, because it would be selling into a spike.

Do they help us win? What the tests say

Question	Answer so far
Does the EA with ZGate win in the years it was tuned on?	Yes: +75,254 versus +48,429 for the parent over 8 periods (8-point cost), better in 7 of 8.
Does it win in years it never saw (5-pt commission)?	**No.** It lost in every unseen year (2010, 2013–2016, 2018, 2023, 2024), between −690 and −6,494.
Is ZGate's idea (don't sell strength) right?	**Yes, in two different markets.** On daily US stocks the lower the ZGate score, the better the next 5 days, in both halves of history. In FX, selling when stochastic is above 80 or price is stretched high lost in every unseen year.
Does MMR predict direction on EURUSD?	**Not reliably.** Its top-versus-bottom edge flips sign from year to year (negative in 12 of 17 years at 1 hour) and is about as big as the 5-point commission.
Does MMR help on stocks?	Its lowest group had the best next-5-day return in both eras (+0.41% and +0.43%), but that may just be "it fell recently" in disguise. Not proven independent.

What did reduce losses

- A much longer sell regime (about 100 days instead of 50) cut average losses by roughly 40% (+$1,555 a year better than the base), but still lost money overall.

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- Adding a Hurst "trend" gate did similar, with one profitable year (2024: +1,134, profit factor 1.33).
- Calm, orderly markets (low volatility, low entropy) looked much better for sells in every year tested, but it was found on the same years, so it is a lead, not a result.

What does not work

- Scalping 7–10 point wins at a 5-point commission: you would need to win 91–99% of trades; the best we saw was 70–83%.
- Trusting the single-feature "chaos" measures (Hurst, entropy, Alligator) alone: no stable pattern.

The honest status

> **MMR: unproven. ZGate: a sensible filter, not a profit engine.** Nothing here is approved for live trading. To prove MMR you still need: a second broker's feed, other pairs and markets, net-of-cost tests with real spread and swap, and one clean final test on data that was never used for choosing anything.

What to do next

1. Let the test loop finish the calm-tape, Hurst, exit-ratio and old-branch tests, then run the 5-point-commission audit on the leaders.
2. Test MMR on its own and mixed with ZGate on stocks and on other FX pairs.
3. Keep the weekly history update running (Sundays 11 PM) and the USB backups current.